

# Procure Space ETF

SPCX NASDAQ

|      |                  |                              |                                      |                       |
|------|------------------|------------------------------|--------------------------------------|-----------------------|
| Hold | \$143.34 ▼ 1.98% | 12M Price Target<br>\$155.00 | 52-Week Range<br>\$104.83 – \$225.64 | Market Cap<br>\$1.89T |
|------|------------------|------------------------------|--------------------------------------|-----------------------|

## SPCX: Space ETF Cools as Yields Spike Pre-Jackson Hole

### WHAT HAPPENED

- SPCX fell 2% yesterday, and the culprit is pretty clearly the bond market — Treasury yields (the interest rate the US government pays to borrow) spiked ahead of the Jackson Hole meeting (an annual Fed conference where they hint at rate policy). When yields jump, speculative growth names like space stocks get hit first because future profits are worth less when you can earn more risk-free.
- The Barron's piece on space debris being "the next stock play" is a subtle tell — Wall Street is starting to price in regulatory risk around orbital congestion, which cuts both ways for SPCX holdings.

### WHY IT MATTERS

The dip isn't about space fundamentals — it's macro. But here's what to actually think about: SPCX holds a basket of pure-play space names (Rocket Lab, Iridium, Planet, Intuitive Machines, etc.), and this sector is uniquely dependent on two things — government contracts and cheap capital. The Trump administration's "Golden Dome" missile defense initiative and the FY2026 defense budget both funnel billions toward space-based systems, which is a direct tailwind. But the options flow is telling — a 0.72 put/call ratio with unusual call buying at \$142-145 strikes suggests traders are betting this pullback is a buying opportunity into Jackson Hole, not the start of a bigger break. ===IMPLICATIONS\_END===

### POLICY & POLITICAL WATCH

Three policy angles matter right now: (1) The Golden Dome missile defense architecture — Congress appropriated initial funding and the Space Force is expected to award major contracts through 2027, directly benefiting SPCX holdings like Rocket Lab and Redwire. (2) FAA commercial launch licensing reform is moving through the House — if it passes, it cuts launch approval time roughly in half, which is huge for cadence-dependent names. (3) Watch the emerging bipartisan push on space debris/orbital traffic management — new rules could raise compliance costs but also create moats for established operators already investing in tracking tech.

### IS IT EXPENSIVE?

SPCX trades as a basket, so traditional P/E doesn't really apply — most holdings are unprofitable growth stories. At \$143, it's at 32% of its 52-week range, meaning it's closer to the lows than the highs, which is actually reasonable value if you believe the sector's earnings power in 2027-2028. The ETF is essentially a call option on commercial space + defense space converging — expensive on today's numbers, fair on 2027 numbers if government contracts convert.

### WHAT COULD GO WRONG

#### Langston's | Equity Research Coverage

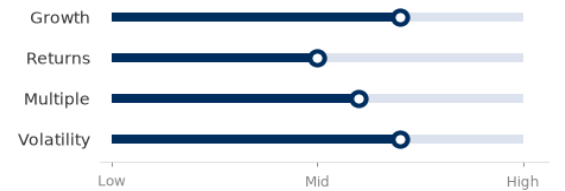
AI-Generated Pre-Market Brief | 2026-08-19 13:23 UTC

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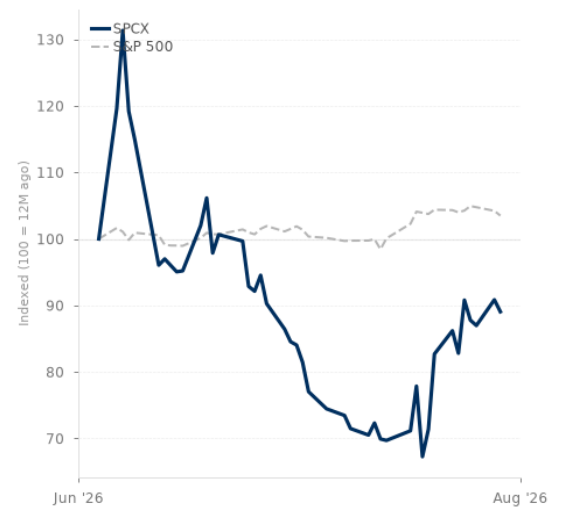
### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$143.34 |
| 12M Price Target    | \$155.00 |
| Upside / (Downside) | +8.1%    |
| Market Cap          | \$1.89T  |
| FY2026E Revenue     | \$0K     |
| FY2027E Revenue     | \$0K     |
| FY2026E EPS         | \$0.00   |
| FY2027E EPS         | \$0.00   |
| Fwd P/E             | N/M      |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$155.00  | \$145.00  | \$132.00  |
| 6 Months  | \$175.00  | \$155.00  | \$125.00  |
| 1 Year    | \$200.00  | \$165.00  | \$120.00  |
| 2 Years   | \$240.00  | \$185.00  | \$110.00  |
| 5 Years   | \$350.00  | \$240.00  | \$100.00  |
| 10 Years  | \$550.00  | \$350.00  | \$90.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+1.76%) and Healthcare (+1.60%) — classic defensive/inflation-hedge rotation as yields spike. Energy specifically is catching a bid on Middle East tension and OPEC discipline.

**COOLING OFF:** Consumer Discretionary (-2.42% over 5 days) and Communications — these are the rate-sensitive growth pockets getting hit by the yield surge, same headwind SPCX faces.

**ROTATION WATCH:** Money is fleeing long-duration growth into cash-generative defensives ahead of Jackson Hole. That's a temporary headwind for SPCX — but if Powell disappoints the hawks, this reverses in a day.

**RELATED PLAY:** If you like the space thesis but want less volatility, defense primes with big space exposure (LMT, NOC, Boeing) capture the government contract tailwind without the pure-play startup risk.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): The launch cadence leader — winning contracts SpaceX doesn't want and building a Neutron rocket that could break Falcon 9's monopoly on medium-lift.
- LUNR (Intuitive Machines): NASA lunar contracts and Artemis-adjacent work make it a policy-driven winner as long as the moon program stays funded.

**SPCX CONTEXT:** SPCX is lagging its top individual holdings because ETF flows are macro-driven while the standout names are catalyst-driven. That tells you the ETF wrapper is currently a drag — but it also means when sentiment turns, SPCX should catch up fast as retail piles back into the "space theme" trade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — I like the multi-year story (defense space + commercial launch boom) but the near-term setup is messy with rates spiking and Jackson Hole risk.

**POSITION SIZE:** 2-4% of portfolio — this is a thematic bet, not a core holding, and the volatility demands you size it small enough to sleep at night.

**ENTRY POINTS:** Add on pullbacks to \$135-140, especially if we get a hawkish Fed reaction — that's your gift. Above \$155 you're chasing.

**TIME HORIZON:** 12-24 months — the catalysts I'm waiting for are Golden Dome contract awards, FAA launch reform passing, and a possible SpaceX IPO announcement (which paradoxically could pump the whole theme even if it eventually pulls capital out).

**WHEN TO BAIL:** If we get a major launch failure at a top-3 holding, or if the FY2027 defense budget draft cuts space funding meaningfully — that's the thesis-breaker.

**HEDGING:** Simplest hedge is owning a defensive sector alongside it (utilities or staples ETF) — when growth gets hit on rate fear, defensives usually catch a bid and cushion the blow.